

Unit III

Organisation

As noted above, almost by definition, management takes place within the framework of an organisation. This could be a private firm, a government department or an NGO. Some organisations endure over time, whilst others are set up in order to perform a specific task and are dissolved once the task has been carried out.

There is no agreed definition of an organisation - different writers emphasise different aspects. Most definitions embrace the idea that organisations are:

- groups of people
- acting together
- in pursuit of common goals or objectives

The notion of groups of people acting together encompasses various forms of self-help and collective action. However, it is not restricted to this; rather, the emphasis is on achieving things that one individual could not achieve alone. The 'group' could be organised hierarchically if this is the most effective way to achieve the set goal.

Furthermore, there is no assumption that all members of the 'group' have an equal say in setting the common objectives. Rather, some (employees) may be tasked with achieving these objectives as a consequence of their employment within the organisation.

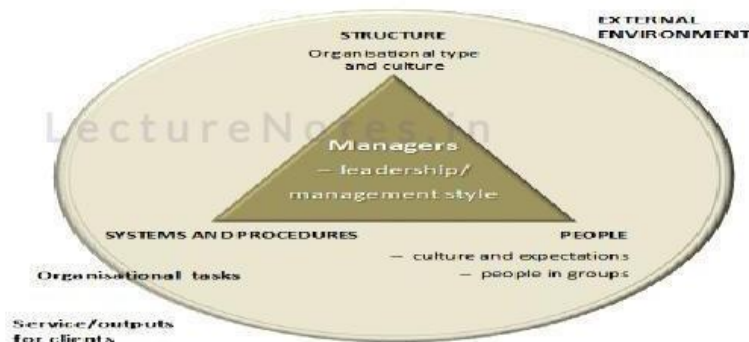
In practice, of course, people in organisations do not always agree about the goals which should be pursued. Moreover, some may be more interested in pursuing their own goals rather than those of the organisation. Not surprisingly, then, organisations tend to be more complex than is suggested by the definition above.

A simple organisational model

Over time, management writers have focused on different aspects of organisations, including

- the **structure** of organisations and the way in which work is organised

- **people**, and their needs and relationships with others in the organisation
- the ways in which organisations interact with their **external environments**
- **organisational culture**, or the values and beliefs propounded within an organization



Definitions

- According to Keith Davis, "Organisation may be defined as a group of individuals, large or small, that is cooperating under the direction of executive leadership in accomplishment of certain common object."
- According to Chester I. Barnard, "Organisation is a system of co-operative activities of two or more persons"

Characteristics / Features of Organisation

The main characteristics or Features of organisation are as follows:

- ✓ **Outlining the Objectives:** Born with the enterprise are its long-life objectives of profitable manufacturing and selling its products. Other objectives must be established by the administration from time to time to aid and support this main objective.
- ✓ **Identifying and Enumerating the Activities:** After the objective is selected, the management has to identify total task involved and its break-up closely related component activities that are to be performed by an individual or division or a department.
- ✓ **Assigning the Duties:** When activities have been grouped according to similarities and common purposes, they should be organized by a particular department. Within the department, the functional duties should be allotted to particular individuals.
- ✓ **Defining and Granting the Authority:** The authority and responsibility should be well defined and should correspond to each other. A close relationship between authority and responsibility should be established.

- ✓ **Creating Authority Relationship:** After assigning the duties and delegations of authority, the establishment of relationship is done. It involves deciding who will act under whom, who will be his subordinates, what will be his span of control and what will be his status in the organisation. Besides these formal relationships, some informal organizations should also be developed.

Importance / Need / Advantages / Significance of Organisation

The well-known industrialist of U.S.A. late Andrew Cannegi, when sold his famous 'United State Steel Corporation', showed his confidence in organisation by uttering the following words, "Take away our factories, take away our trade, our avenues of transportation, our money, leave nothing but our organisation, and in four years, we shall re-established ourselves." Since ages and in every walk of life, organisation has been playing a vital role. The significance or main advantages of organisation are as follows:

- ✓ **It Facilitated Administration and management:** Organisation is an important and the only tool to achieve enterprise goals set b administration and explained by management. A sound organisation increases efficiency, avoids delay and duplication of work, increases managerial efficiency, increases promptness, motivates employees to perform their responsibility.
- ✓ **It Help in the Growth of Enterprise:** Good organisation is helpful to the growth, expansion and diversifications of the enterprise.
- ✓ **It Ensures Optimum Use of Human Resources:** Good organisation establishes persons with different interests, skills, knowledge and viewpoints.
- ✓ **It Stimulates Creativity:** A sound and well-conceived organisation structure is the source of creative thinking and initiation of new ideas.
- ✓ **A Tool of Achieving Objectives:** Organisation is a vital tool in the hands of the management for achieving set objectives of the business enterprise.
- ✓ **Prevents Corruption:** Usually corruption exists in those enterprises which lack sound organisation. Sound organization prevents corruption by raising the morale of employees. They are motivated to work with greater efficiency, honesty and devotion.
- ✓ **Co-ordination in the Enterprises:** Different jobs and positions are welded together by structural relationship of the organisation. The organizational process exerts its due and balanced emphasis on the co-ordination of various activities.
- ✓ **Eliminates Overlapping and Duplication or work:** Over lapping and duplication of work exists when the work distribution is not clearly identified and the work is performed in a haphazard and disorganized way. Since a good organisation demands that the duties

be clearly assigned amongst workers, such overlapping and duplication is totally eliminated.

Some of those principles are discussed as follows:

1. Principle of Objective:

The enterprise should set up certain aims for the achievement of which various departments should work. A common goal so devised for the business as a whole and the organization is set up to achieve that goal. In the absence of a common aim, various departments will set up their own goals and there is a possibility of conflicting objectives for different departments. So there must be an objective for the organization.

2. Principle of Specialisation:

The organization should be set up in such a way that every individual should be assigned a duty according to his skill and qualification. The person should continue the same work so that he specialises in his work. This helps in increasing production in the concern.

3. Principles of Co-ordination:

The co-ordination of different activities is an important principle of the organization. There should be some agency to co-ordinate the activities of various departments. In the absence of co-ordination there is a possibility of setting up different goals by different departments. The ultimate aim of the concern can be achieved only if proper co-ordination is done for different activities.

4. Principle of Authority and Responsibility:

The authority flows downward in the line. Every individual is given authority to get the work done. Though authority can be delegated but responsibility lies with the man who has been given the work. If a superior delegates his authority to his subordinate, the superior is not absolved of his responsibility, though the subordinate becomes liable to his superior. The responsibility cannot be delegated under any circumstances.

5. Principle of Definition:

The scope of authority and responsibility should be clearly defined. Every person should know his work with definiteness. If the duties are not clearly assigned, then it will not be possible to fix responsibility also. Everybody's responsibility will become nobody's responsibility. The relationship between different departments should also be clearly defined to make the work efficient and smooth.

6. Span of Control:

Span of control means how many subordinates can be supervised by a supervisor. The number of subordinates should be such that the supervisor should be able to control their work effectively. Moreover, the work to be supervised should be of the same nature. If the span of control is disproportionate, it is bound to affect the efficiency of the workers because of slow communication with the supervisors.

7. Principle of Balance:

The principle means that assignment of work should be such that every person should be given only that much work which he can perform well. Some person is over worked and the other is under-worked, then the work will suffer in both the situations. The work should be divided in such a way that everybody should be able to give his maximum.

8. Principle of Continuity:

The organization should be amendable according to the changing situations. Everyday there are changes in methods of production and marketing systems. The organization should be dynamic and not static. There should always be a possibility of making necessary adjustments.

9. Principle of Uniformity:

The organization should provide for the distribution of work in such a manner that the uniformity is maintained. Each officer should be in-charge of his respective area so as to avoid dual subordination and conflicts.

10. Principle of Unity of Command:

There should be a unity of command in the organization. A person should be answerable to one boss only. If a person is under the control of more than one person then there is a like-hood of confusion and conflict. He gets contradictory orders from different superiors. This principle creates a sense of responsibility to one person. The command should be from top to bottom for making the organization sound and clear. It also leads to consistency in directing, coordinating and controlling.

11. Principle of Exception:

This principle states that top management should interfere only when something goes wrong. If the things are done as per plans then there is no need for the interference of top management. The management should leave routine things to be supervised by lower cadres. It is only the exceptional situations when attention of top management is drawn. This principle relieves top management of many botherations and routine things. Principle of exception allows top management to concentrate on planning and policy formulation. Important time of management is not wasted on avoidable supervision.

12. Principle of Simplicity:

The organizational structure should be simple so that it is easily understood by each and every person. The authority, responsibility and position of every person should be made clear so that there is no confusion about these things. A complex organizational structure will create doubts and conflicts among persons. There may also be over-lapping's and duplication of efforts which may otherwise be avoided. It helps in smooth running of the organization.

13. Principle of Efficiency:

The organization should be able to achieve enterprise objectives at a minimum cost. The standards of costs and revenue are pre-determined and performance should be according to these

goals. The organization should also enable the attainment of job satisfaction to various employees.

14. Scalar Principle:

This principle refers to the vertical placement of supervisors starting from top and going to the lower level. The scalar chain is a pre-requisite for effective and efficient organization.

What is an Organisational Structure

- ✓ The organisational structure defines the organisation's hierarchy of people and departments as well as how information flows within the organization.
- ✓ The organisational structure determines how and when information is distributed as well as who makes what decisions based on the information available.
- ✓ How job tasks are formally divided, grouped and coordinated

The importance of the Organizational Structure

- ✓ The Organisational Structure is important because it ensures that there is an efficient operation of a business and it clearly defines its workers and their functions.
- ✓ The organisational structure also helps define the hierarchy and the chain of command.

The Concept of Organisation Structure

- ✓ Structure helps influence behaviour and relationships of jobs and functions
- ✓ Structure defines recurring activities and processes.
- ✓ Structure provides a purposeful and goal oriented behaviour

The Designing the Process

1. Develop a clear mission statement for the organization. Focus the organisation structure around the mission statement.
2. The mission statement should include the inter-relationship between workers at every level as well as inspiring innovation and ensuring efficiency
3. Decide whether the organisation structure will be centralized and formal or decentralized

ORGANIZATIONAL STRUCTURE AND DESIGN

Organizational Structure and Design are important factors influencing behavior of individuals and groups that comprise the organization; they establish expectations for what individuals and groups will do to achieve the organization's purposes.

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Design: Managers make a conscious effort to predetermine the way employees do their work.

Organizational design is a step-by-step methodology which identifies dysfunctional aspects of work flow, procedures, structures and systems, realigns them to fit current business realities/goals and then develops plans to implement the new changes. The process focuses on improving both the technical and people side of the business.

Organization Design refers to the process of creating hierarchy in the organization structure and determining the flow of responsibility and authority within the structure in an organization.

An Organisation structure is the outcome of an organizing design and usually depends the objectives and strategy of an organization. It also determines the hierarchy within the organisation and the information flow between different levels of management.

An effective organization design will result in increased profitability of the enterprise. The need for an adequate organisation design is felt by an enterprise whenever it grows in size or complexity. When an organisation grows, coordination becomes difficult due to the emergence of new functions and increase in structural hierarchies. Thus for an organisation to function smoothly and face environmental changes, it becomes necessary to pay attention to its structure.

Organizational Design defines how various tasks that have to be carried out to achieve organizational objectives are to be divided and how the available resources are to be deployed.

Six Key Elements in Organizational Design

Organizational design is engaged when managers develop or change an organization's structure. Organizational Design is a process that involves decisions about the following six key elements:

I. Work Specialization

Describes the degree to which tasks in an organization are divided into separate jobs. The main idea of this organizational design is that an entire job is not done by one individual. It is broken down into steps, and a different person completes each step. Individual employees specialize in doing part of an activity rather than the entire activity.

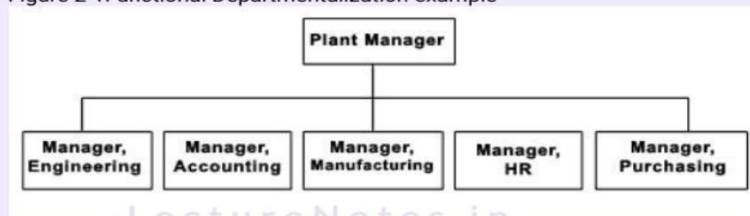
II. Departmentalization

It is the basis by which jobs are grouped together. For instance every organization has its own specific way of classifying and grouping work activities.

There are five common forms of departmentalization:

1. **Functional Departmentalization:** As shown in the Figure 2-1, it groups jobs by functions performed. It can be used in all kinds of organizations; it depends on the goals each of them wants to achieve.

Figure 2-1 Functional Departmentalization example



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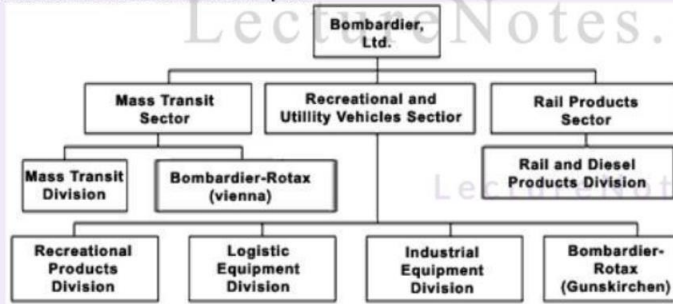
Different aspects on this type of departmentalization:

Positive Aspects	Negative Aspects
- o Efficiencies from putting together similar specialties and people with common skills, knowledge, and orientations - o Coordination within functional area - o In-depth specialization	- o Poor communication across functional areas - o Limited view of organizational goals

2. **Product Departmentalization.** It groups jobs by product line. Each manager is responsible of an area within the organization depending of his/her specialization

Figure 2: Product Departmentalization example

Source: Bombardier Annual Report



Different aspects on this type of departmentalization:

Positive Aspects	Negative Aspects
- o Allows specialization in particular products and services - o Managers can become experts in their industry - o Closer to customers	- o Duplication of functions - o Limited view of organizational goals

3. **Geographical Departmentalization.** It groups jobs on the basis of territory or geography.

Figure 2-3: Geographical Departmentalization example

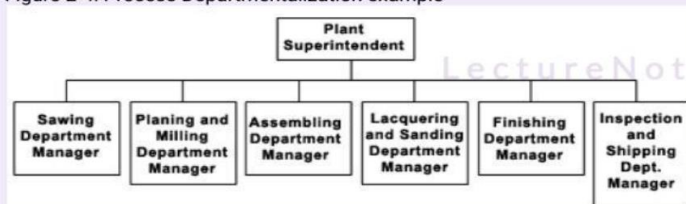


Different aspects on this type of departmentalization:

Positive Aspects	Negative Aspects
- o More effective and efficient handling of specific regional issues that arise - o Serve needs of unique geographic markets better	- o Duplication of functions - o Can feel isolated from other organizational areas

4. **Process Departmentalization.** It groups on the basis of product or customer flow.

Figure 2-4: Process Departmentalization example



Different aspects on this type of departmentalization:

Positive Aspects	Negative Aspects
o Customers' needs and problems can be met by specialists	- o Duplication of functions - o Limited view of organizational goals

5. **Customer Departmentalization.** It groups jobs on the basis of common customers

Figure 2-5: Customer Departmentalization example



Different aspects on this type of departmentalization:

Positive Aspects	Negative Aspects
o Customers' needs and problems can be met by specialists	- o Duplication of functions - o Limited view of organizational goals

III. Chain of command

It is defined as a continuous line of authority that extends from upper organizational levels to the lowest levels and clarifies who reports to whom. There are three important concepts attached to this theory:

- **Authority:** Refers to the rights inherent in a managerial position to tell people what to do and to expect them to do it.
- **Responsibility:** The obligation to perform any assigned duties.
- **Unity of command:** The management principle that each person should report to only one manager.

IV. Span of Control

It is important to a large degree because it determines the number of levels and managers an organization has. Also, determines the number of employees a manager can efficiently and effectively manage.

V.

Centralization and Decentralization

Centralization and Decentralization are the two types of structures, that can be found in the organization, government, management and even in purchasing. **Centralization** of authority

means the power of planning and decision making are exclusively in the hands of top management. It alludes to the concentration of all the powers at the apex level.

On the other hand, **Decentralization** refers to the dissemination of powers by the top management to the middle or low-level management. It is the delegation of authority, at all the levels of management.

To determine whether an organization is centralized or decentralized greatly depends on the location of decision-making authority and the degree of decision-making power at lower levels. There is a never ending debate between these two terms to prove which one is better. In this article, significant differences between Centralization and Decentralization, in an organization is explained.

Recentralization

- ✓ Centralization and decentralization depend on many factors and so the degree of centralization and decentralization also changes with the situation.
- ✓ It should not be supposed that authority once decentralized is decentralized forever.
- ✓ Recentralization means back to centralization.
- ✓ If the situation so demands, the top management may hold back the power or authority from the lower level management which was earlier decentralized.

V. Centralization and Decentralization

More Centralization	More Decentralization
• Environment is stable • Lower-level managers are not as capable or experienced at making decisions as upper-level managers. • Lower-level managers do not want to have say in decisions • Decisions are significant. • Organization is facing a crisis or the risk of company failure. • Company is large. • Effective implementation of company strategies depends on managers retaining say over what happens.	• Environment is complex, uncertain. • Lower-level managers are capable and experienced at making decisions. • Lower-level managers want a voice in decisions. • Decisions are relatively minor. • Corporate culture is open to allowing managers to have a say in what happens. • Company is geographically dispersed. • Effective implementation of company strategies depends on managers having involvement and flexibility to make decisions

VI. Formalization

It refers to the degree to which jobs within the organization are standardized and the extent to which employee behavior is guided by rules and procedures.

Formalization

- the degree to which jobs within the organization are standardized

HIGH LEVELS	LOW LEVELS
• minimum amount of discretion over what, when, and how • consistent output • explicit job descriptions • organizational rules • clearly defined procedures	• unprogrammed behaviors • exercise discretion • great deal of freedom • less standardization • consider alternatives

ORGANIZATION STRUCTURE:

Structure: Defined as "stable relationships and processes of the organization." It is also the "anatomy" or framework of an organization. It focuses on different positions, formulations of rules and procedures, and prescriptions of authority. It is used to regulate, or at least reduce uncertainty in the behavior of individual employees.

The main objective of an organization structure is to ensure that efforts of all the people working in various sections are co-ordinate and integrated for achieving the task in the most efficient effective way with minimum consumption of resources i.e. economical ways

- 1) Formal organization structure
- 2) Informal organization structure

Formal organization structure: According to classical theorists the formal organization is built on four pillars

- 1) Division of labour
- 2) Scalar functional processes

3) Structure

4) Span of control

Definition: An organization is formal when the activities of two or more persons are consciously coordinated towards common objectives.

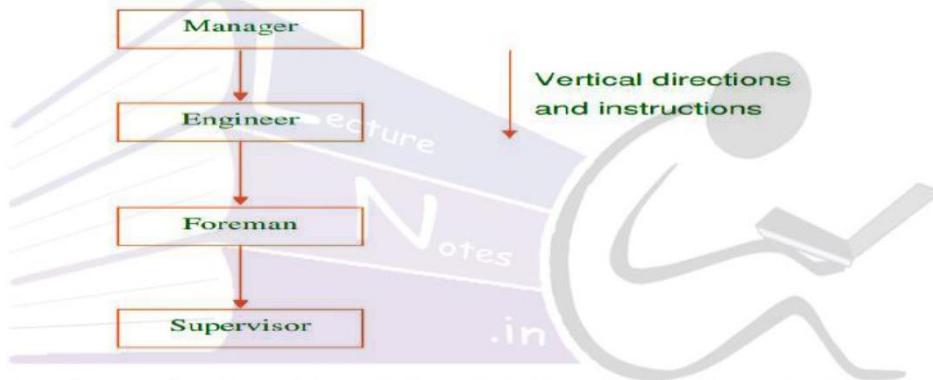
Informal organization: Informal organization arises spontaneously based on friendship or some common interest and not based on rules, regulation and procedures. It is developed by the employees themselves and not by the formal authority.

Definition: Informal organization brings cohesiveness to a formal organization, it brings to the members of formal organization a feeling of belonging of status, of self-respect and of gregarious satisfaction.

Types of organization:

On the basis of authority relationships organization classified as follows

1. Line organization or Military organization or Scalar organization
2. Functional organization
3. Line and Staff organization
4. Matrix organization

Line organization

Where efforts of large number of people have to be controlled and discipline is of prime importance line type organization structure will serve the purpose. This is also one of the oldest structures. However, in present conditions this type of structure has lost the applicability. In line structure ten lines of instruction, directing is vertical. This means in this type boss is always right and his orders are to be obeyed at any cost.

Merits:

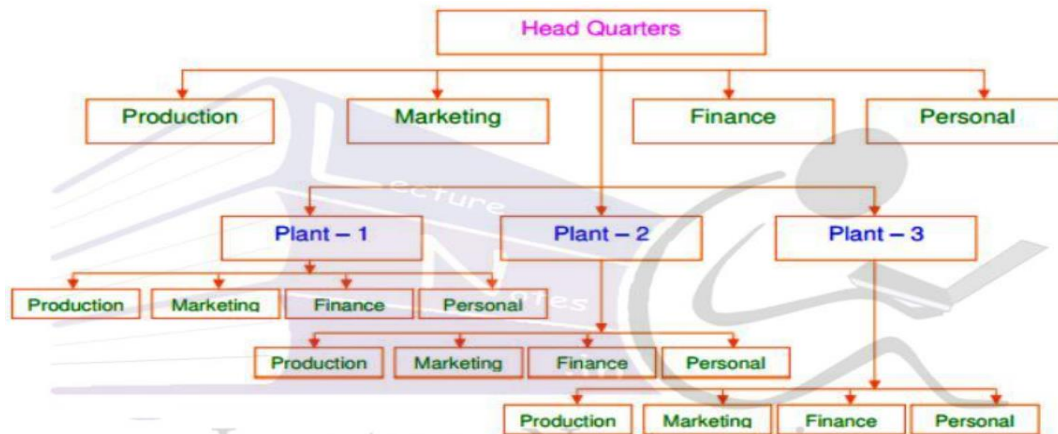
- **Simplicity:** Line organization is very simple to establish and can be easily understood by the employees
- **Discipline:** Since each position is subject to control by its immediate superior position, often the maintenance of discipline is easy unity of command and unity of direction foster discipline among the people in the organization.
- **Co-ordination:** The hierarchy in management helps in achieving effective coordination
- **Effective communication:** There will be a direct link between superior and his subordinate; both can communicate properly among themselves.
- **Economical:** Line organization is easy to operate and less expensive
- **Unity of command:** In line organization every person is under the command of one boss only.
- **Prompt decision:** Only one person is in charge of one division or department. This enables manager to take quick decisions.
- **Over all development of the managers:** The departmental head has to look after all the activities of his department; therefore, it encourages the development of all round managers at the higher level of authority.

Demerits:

- **Undue reliance:** The success of the enterprise depends upon the caliber and ability of few departmental heads, loss of one or two capable men may put the organization in difficulties.

- **Personnel limitations:** In this type of organization an individual executive is supposed to discharge different types of duties. He cannot do justice to all different activities because he cannot be specialized in all the trades.
- **Overload of work:** Departmental heads are overloaded with various routine jobs hence they can not spare time for important managerial functions like planning, development budgeting etc.
- **Dictatorial way:** In line organization, too much authorities centre on line executive. Hence it encourages dictatorial way of working.
- **Duplication of work:** Conflicting policies of different departments result in duplication of work.
- **Unsuitable for large concerns:** It is limited to small concerns
- **General interest of enterprise may be over looked:** Departments may work for their self-interest and may sacrifice the general interest of the enterprise.
- **Scope of favourism:** As the departmental heads have the supreme authority, there is chance of favourism.

Functional organization: This structure most widely used, in the medium and large organizations having limited number of products. This was introduced by F.W.Taylor and is logical extension of the division of labour cover departments as well as men. In this authority is delegated to an individual or department to control specified processes, policies or other matter relating to activities under taken by persons in other departments.



In this system planning is separated from performance since the direction of work is divided by various function in the factory. It has been found that this type of structure becomes ineffective when the work of departments and individuals increases in variety and complexity.

Merits:

- **Separation of work:** In functional organization, work has been separated from routine work. The specialist has been given the authority and responsibility for supervision and administration pertaining to their field of specialization unnecessary over loading of responsibilities is thus avoided.
- **Specialization:** Specialization and skilled supervisory attention is given to workers the result is increase in rate of production and improved quality of work.
- **Narrow range with high depth:** The narrow range of activities enable the functional expert to developing in depth understanding in his particular area of activity
- **Ease in selection and training:** Functional organization is based upon expert knowledge. The availability of guidance through experts makes it possible to train the workers properly in comparatively short span of time.
- **Reduction in prime cost:** Since for every operation expert guidance is there, wastage of material is reduced and thus helps to reduce prime cost.
- **Scope of growth and development of business:** This type of organization presents ample scope for the growth and development of business.

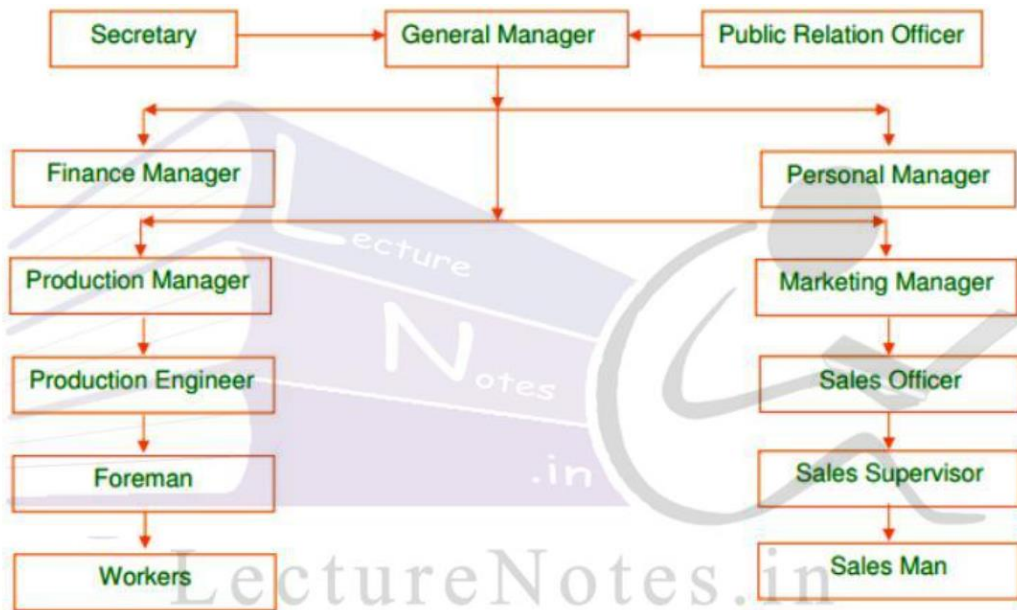
Demerits:

- **Indispline:** Since the workers receive instructions from number of specialist it leads to confusion to whom they should follow. Therefore, it is difficult to maintain discipline
- **Shifting of responsibility:** It is difficult for the top management to locate responsibility for the unsatisfactory work everybody tries to shift responsibility on others for the faults and failure.
- **Kills the initiative of workers:** As the specialized guidance is available to the workers the workers will not be using their talents and skills therefore their initiative cannot be utilized.
- **Overlapping of authority:** The sphere of authority tends to overlap and gives rise to friction between the persons of equal rank.
- **Lack of co-ordination between functions:** except the function in which he is specialized he is absolutely indifferent to other functions. Therefore, there is a lack of coordination of function and efforts.

Line and Staff Organization: Line and Staff organization is the in which the line heads are assisted by specialist staff. If the firm is of large size, manager cannot give careful attention to every aspect of management. They are busy with ordinary task of production and selling. Hence staff is deputed to do the work of investigation, research, recording, and advising to managers. Thus the staff brings advising to managers. Thus the staff brings specialization by assisting the line officers.

"Line" means - Operating

"Staff" means - Service



Merits:

- **Planned specialization:** The line and staff structure is based upon the principle of specialization. The line managers are responsible for operations contributing directly to the achievement of organizational objectives whereas staff people are there to provide expert advice on the matters of their concerns.
- **Quality decisions:** Decisions come after careful consideration and thought each expert gives his advice in the area of his specialization which is reflected in the decisions.
- **Prospect for personal growth:** Prospect for efficient personnel to grow in the organization not only that, it also offers opportunity for concentrating in a particular area, thereby increasing personal efficiency.
- **Less wastage:** There will be less wastage of material.
- **Training ground for personnel:** It provides training ground to the personnel in two ways. First, since everybody is expected to concentrate on one field, one's training needs can easily be identified. Second, the staff with expert knowledge provides opportunities to the line managers for adopting rational multidimensional approach towards a problem.

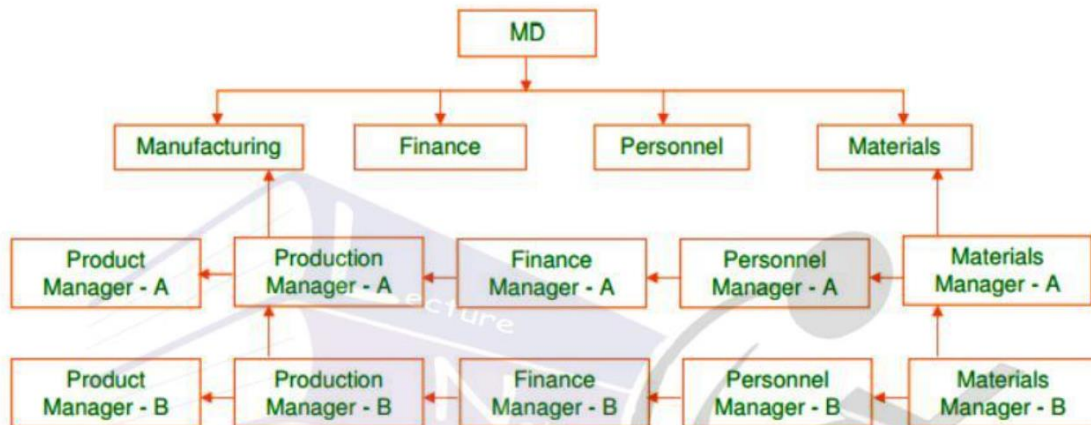
Demerits:

- **Chances of Misinterpretation:** Although the expert advice is available, yet it reaches the workers through line supervisors. The line officers may fail to understand the meaning of advice and there is always a risk of

misunderstanding and misinterpretation.

- **Chances of friction:** There are bound to be occasions when the line and staff may differ in opinion may resent in conflict of interests and prevents harmonious relations between the two.
- **Ineffective Staff in the absence of authority:** The staff has no authority to execute their own advice. Their advice is not a binding on the line officers. Therefore the advice given by specialist may be ignored by line heads.
- **Expensive:** The overhead cost of the product increases because of high salaried specialized staff.
- **Loss of initiative by line executives:** If they start depending too much on staff may lose their initiative drive and ingenuity.

Matrix Organization: This is also called as project organisation it is a combination of all relationships in the organization in vertical, horizontal and diagonal. It is mostly used in complex projects. It provides a high degree of operational freedom, flexibility and adoptability for both the line and staff managers in performing their respective roles. The main objective of matrix organization is to secure a higher degree of coordination than what is possible from the conventional organizational structure as the line and staff.



Merits:

- It offers operational freedom and flexibility
- It seeks to optimize the utilization of resources
- It focuses on results
- It maintains professional identity
- It holds employees responsible for management of resources

Demerits:

- It calls for greater degree of coordination
- It violates unity of command principle
- It may be difficult to define authority and responsibility precisely
- Employees may find it frustrating to work with two bosses

RECENTRALIZATION:

The concentration of power in a central authority that had previously been delegated to regional and local authorities

Centralization and decentralization depend on many factors and so the degree of centralization and decentralization also changes with the changing situation. It should not be supposed that authority once decentralized is decentralized forever. Recentralization means back to centralization. If the situation so demands, the top management may hold back the power or authority from the lower level managers which were earlier decentralized.

DELEGATION:

Delegation is an administrative process of getting things done by others by giving them responsibility

The entrustment of a part or responsibility and authority to another and the creation of accountability for performance.

"Delegation refers to a manager's ability to share his burden with others. It consists of granting authority or the right to decision making in certain defined areas and charging subordinates with responsibility for carrying through an assigned task."

Delegation has the following characteristics:

1. Delegation takes place when a manager grants some of his powers to subordinates.
2. Delegation occurs only when the person delegating the authority himself has that authority i.e. a manager must possess what he wants to delegate.
3. Only a part of authority is delegated to subordinates.
4. A manager delegating authority can reduce, enhance or take it back. He exercises full control over the activities of the subordinates even after delegation.
5. It is only the authority which is delegated and not the responsibility. A manager cannot abdicate responsibility by delegating authority to subordinates.

Elements of Delegation

1. **Authority** - in context of a business organization, authority can be defined as the power and right of a person to use and allocate the resources efficiently, to take decisions and to give orders so as to achieve the organizational objectives. Authority must be well- defined. All people who have the authority should know what is the scope of their authority is and they shouldn't misutilize it. Authority is the right to give commands, orders and get the things done. The top level management has greatest authority.

Authority always flows from top to bottom. It explains how a superior gets work done from his subordinate by clearly explaining what is expected of him and how he should go about it. Authority should be accompanied with an equal amount of responsibility. Delegating the authority to someone else doesn't imply escaping from accountability. Accountability still rest with the person having the utmost authority.

2. **Responsibility** - is the duty of the person to complete the task assigned to him. A person who is given the responsibility should ensure that he accomplishes the tasks assigned to him. If the tasks for which he was held responsible are not completed, then he should not give explanations or excuses. Responsibility without adequate authority leads to discontent and dissatisfaction among the person. Responsibility flows from bottom to top. The middle level and lower level management holds more responsibility. The person held responsible for a job is answerable for it. If he performs the tasks assigned as expected, he is bound for praises. While if he doesn't accomplish tasks assigned as expected, then also he is answerable for that.
3. **Accountability** - means giving explanations for any variance in the actual performance from the expectations set. Accountability can not be delegated. For example, if 'A' is given a task with sufficient authority, and 'A' delegates this task to B and asks him to ensure that task is done well, responsibility rest with 'B', but accountability still rest with 'A'. The top level management is most accountable. Being accountable means being innovative as the person will think beyond his scope of job.

Accountability, in short, means being answerable for the end result. Accountability can't be escaped. It arises from responsibility.

For achieving delegation, a manager has to work in a system and has to perform following steps :-

1. Assignment of tasks and duties
2. Granting of authority
3. Creating responsibility and accountability

Delegation of authority is the base of superior-subordinate relationship, it involves following steps:-

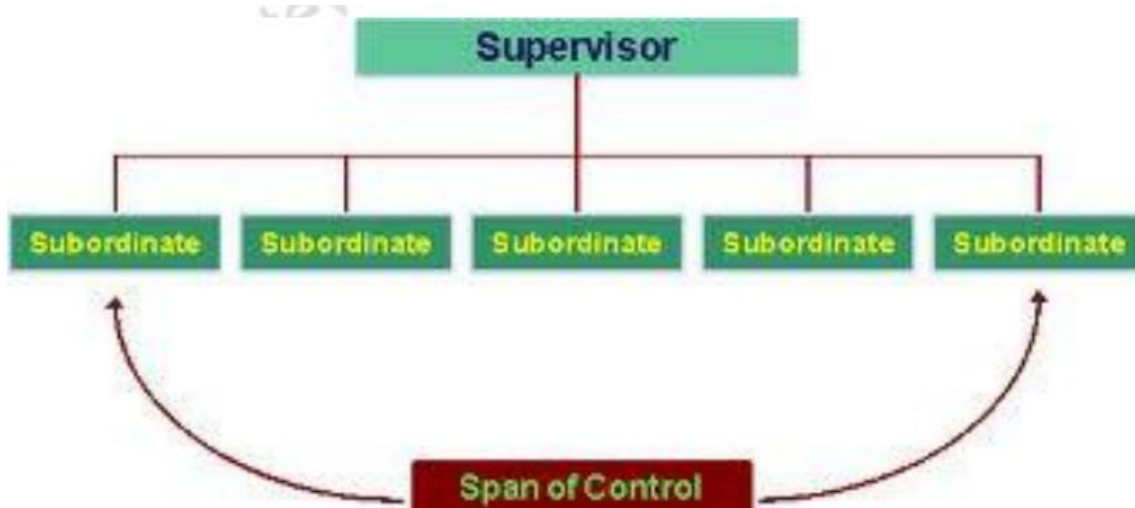
1. **Assignment of Duties** - The delegator first tries to define the task and duties to the subordinate. He also has to define the result expected from the subordinates. Clarity of duty as well as result expected has to be the first step in delegation.
2. **Granting of authority** - Subdivision of authority takes place when a superior divides and shares his authority with the subordinate. It is for this reason, every subordinate should be given enough independence to carry the task given to him by his superiors. The managers at all levels delegate authority and power which is attached to their job positions. The subdivision of powers is very important to get effective results.
3. **Creating Responsibility and Accountability** - The delegation process does not end once powers are granted to the subordinates. They at the same time have to be obligatory towards the duties assigned to them. Responsibility is said to be the factor or obligation of an individual to carry out his duties in best of his ability as per the directions of superior. Responsibility is very important. Therefore, it is that which gives effectiveness to authority. At the same time, responsibility is absolute and cannot be shifted. Accountability, on the other hand, is the obligation of the individual to carry out his duties as per the standards of performance. Therefore, it is said that authority is delegated, responsibility is created and accountability is imposed. Accountability arises out of responsibility and responsibility arises out of authority. Therefore, it becomes important that with every authority position an equal and opposite responsibility should be attached.

Therefore every manager, i.e., the delegator has to follow a system to finish up the delegation process. Equally important is the delegatee's role which means his responsibility and accountability is attached with the authority over to here.

Span of control

Span of control is the term commonly used in business management and public administration.

Span of Control: Concept and Concerns: Span of control plays a significant role in organizations and has its implications for organizational structure i.e. interactions between supervisors and subordinates and decision making process.



Span of control means how many subordinates can be supervised by a supervisor. The number of subordinates should be such that the supervisor should be able to control their work effectively. Moreover, the work to be supervised should be of the same nature. If the span of control is disproportionate, it is bound to affect the efficiency of the workers because of slow

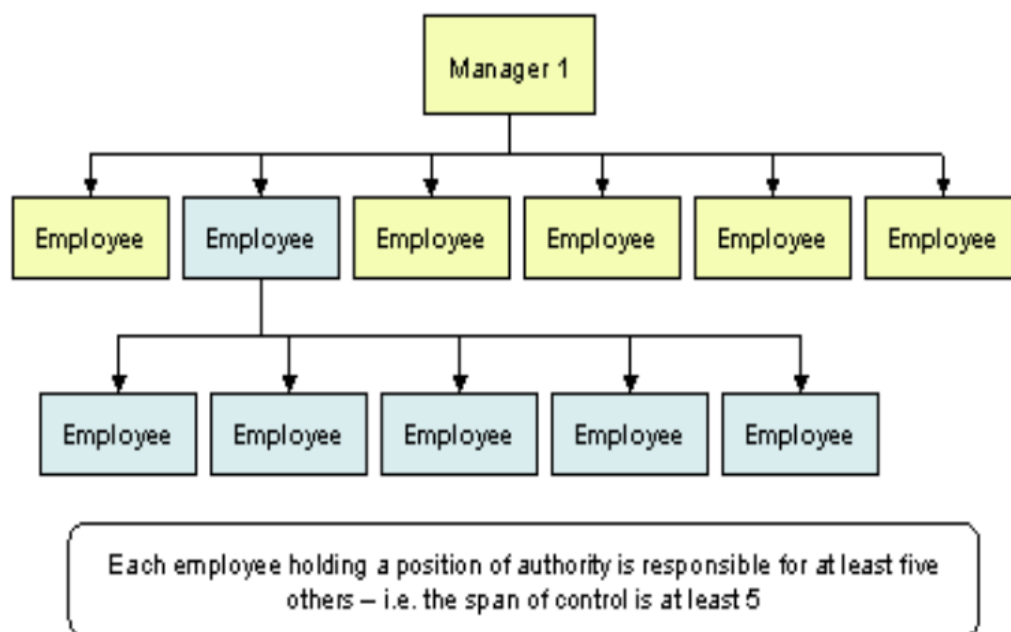
communication with the supervisors.

Types of span of control:

The span of control can be of two types i.e. wide span of control and narrow span of control.

1. Wide span of control: Wide span of control means a manager can supervise and control effectively a large number of persons at a time. It is because shorter span of control leads to rise in number of steps or levels in vertical chain of command which leads to tall organization. Wide span of control has features as it leads to maximized communication; better supervision; better co-ordination; suitable for routine and easy jobs; prompt response from employees; less overhead cost of supervision and greater ability to respond to environmental changes. A wide span of control results in an organization that has relatively few levels or steps of management which can be termed as flat or horizontal organization. Wide span of control is suitable when people are competent, prefer low supervision and tasks are similar and standardized. Simon pleads for wider span of control. It is because shorter span of control leads to rise in number of steps or levels in vertical chain of command which leads to tall organization. This makes vertical communication difficult and indirect. Wider span of control leads to maximized communication.

Example of a Wide Span of Control

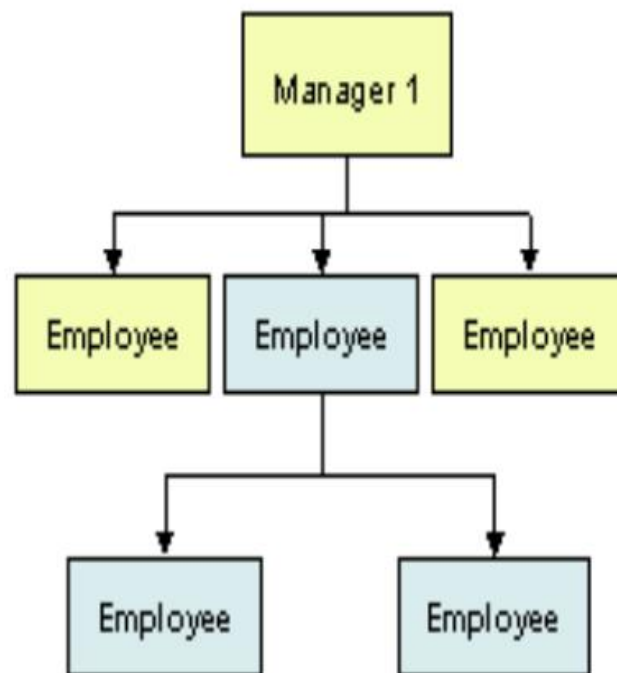


To make the span of control wider **Delaying Process** is used. In this process, the span of control is increased which results in reduction of the number of managers and layers in the organization. Delaying helps in improving communication from the top and saving cost.

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2. Narrow span of control: When the work and authority is divided amongst many subordinates and a manager supervises and controls a small group of people, then narrow span of control exists. It adds more layers or levels of management and so leads to tall organization. Main features of narrow span of control are as specialization work can be achieved; work which is complex and requires tight control and supervision, there narrow span of control is helpful; messages can be distorted; co-ordination is difficult to achieve; communication gaps can come; more overhead cost of supervision and no quick response to environmental changes.

Example of a Narrow Span of Control



Each employee holding a position of authority is responsible for at least two others – i.e. the span of control is at least 2

When the span of control is narrow then the structure of the organization is tall and there may be ineffective, inaccurate and incomplete communication which could lead to decreased morale, increased executive payroll and red-tapism.

Factors affecting span of control:

1. Ability of subordinates: when the subordinates are enough competent to complete the allotted work easily, the manager will not be required to give more attention to them and more subordinates can be supervised. But, when if subordinates are less competent, the manager will be required to devote more time for supervision and span of control will be narrow.

2. Degree of delegation: A manager who delegates more authority of taking decisions to his subordinates can supervise a greater number of subordinates and enlarge the span of control. But, if a manager keeps more authority of taking decisions with him can supervise a small number of subordinates.
3. Capability of the supervisor: The qualities and qualifications of the supervisor affect the span of control to a great extent. If the supervisor is competent enough, he can easily supervise a large number of employees and span of control can be wider. In case when supervisor is new, less competent and has less administrative ability, the span of control will be narrow.
4. Age of the organization: The span of control is wider in old organizations than in newer organizations because in old organizations things get stabilized.
5. Nature of work: As the work is more routine, the span of control can be wide. The similarity and simplicity of functions can be tackled easily while if work is of complex nature, the supervisor's span of control will be narrow. So, nature of work determines the span of control.
6. Geographical Dispersion: If branches of a business are widely dispersed, then the manager will find it difficult to supervise each of them, as such the span on control will be smaller. A manager can supervise easily the work of a large number of subordinates, if they are located in one compact place.
7. Techniques of supervision: Supervision Techniques such as delegation, planning, programming, the use of staff specialists, etc., help extend a manager's span of control. Span of control can be extended where the direction of operations is done more by goals and objectives rather than by ever-present supervisor. Also, an administrator can broaden his span of control by the use of staff specialists who can provide another set of legs, eyes and ears for the executive.
8. Communication system: A well organized and sensitive proper communication system in an organization will make possible a larger span of control than a power and ill-organized system of communication.
9. Use of standing plans:- It reduces the work load of managers, as a result span of control increases considerably.
10. Use of communication technology: In modern times, because of the use of automation in administration, of control has widened. Further, the application of mechanization to such activities as accounting and computation work had increased the span of control.

11. Level of management: The higher the superior is in the organizational hierarchy, the narrower the span of control. Based on empirical studies, Newman suggested that executives in higher echelons should have a span of three to seven operating subordinates, whereas the optimum range for first-line supervisors of routine activities is usually from fifteen to twenty employees.

There are other factors such as well-defined authority and responsibility; availability of staff services; economic restrictions; superior-subordinates relationship; degree of centralization; financial position of the organization; clarity of plans and responsibilities etc which also affect the span of control.